

Long Texas Roadhouse, Short Cava

A market-neutral position on the growing gap between value and premium dining

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STRUCTURE	LONG	SHORT	NET BETA	SECTOR
Pair (L/S)	TXRH \$177.75	CAVA \$95.00	~0	Restaurants

Overview

This is a paired position that holds Texas Roadhouse long and Cava short in equal dollar amounts. Since the two legs offset each other, broad market and sector moves cancel out, and the position makes money only if Texas Roadhouse outperforms Cava. The two names are similar in size, each near eleven billion dollars in market value, which makes for a clean hedge. The bet does not depend on which way restaurant stocks go. It depends on one spread closing, the gap between a value operator winning traffic and a premium operator priced for perfection.

The setup rests on one fact about the 2026 consumer. After several years of menu price increases, diners have grown more selective about spending, and the perceived value gap between cheaper and pricier concepts has narrowed. That shift favors brands that keep a value identity and works against those that lean on premium pricing. Texas Roadhouse sits on the favorable side of that line. Cava sits on the wrong side after a large run in its share price.

The Trade

1. The consumer has split in two

The clearest evidence shows up in same store sales, the measure that strips out new openings and shows how existing locations are doing. In the most recent reported quarter the gap between the strongest and weakest major chain reached roughly thirty one points, with Chili's up 21.4 percent and Sweetgreen down 9.5 percent. A gap that wide inside one industry is unusual. It reflects two different demand environments sitting under one sector label. The pair is built to capture that gap rather than to call the direction of the group.

2. The long leg, Texas Roadhouse

Texas Roadhouse is a value steakhouse that keeps drawing traffic. In the first quarter of 2026 comparable sales rose 7.1 percent on traffic growth of 4.5 percent, the higher quality kind of growth because it comes from more guests rather than price alone. Revenue rose 12.8 percent year over year. The stock has lagged the business. It trades near 178 dollars, well below its 52 week high of 197, and carries an average analyst target close to 198 with no sell ratings on the name. The main weak spot is margin, which fell 36 basis points to 16.3 percent on higher beef and labor costs. That pressure is industry wide and is a watch item rather than a break in the thesis.

3. The short leg, Cava

Cava is the opposite profile. The business is sound. The valuation is the problem. The shares have advanced roughly 54 percent over the past six months and trade near the top of their range, with the valuation now well ahead of the cash the business produces. Cava is a premium fast casual brand at the moment the premium end of the menu faces the most pressure, and it has to lap an unusually strong prior stretch to keep the story going. The short is a bet that an expensive stock with a high bar grows into that bar more slowly than the market assumes.

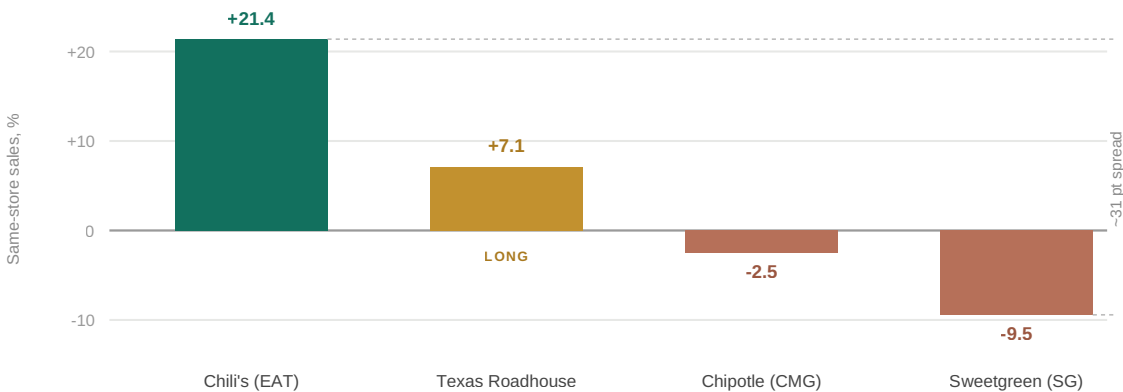


Figure 1. Most recent reported same-store sales growth across major restaurant chains. The gap between the strongest and weakest brand is the divergence the position is built to capture. Cava is shown separately because its latest results are reported on a traffic basis rather than as a single comparable-sales figure.

Construction

The position is built to isolate one view and hedge the rest. Equal dollars on the long and the short keep net market exposure near zero, so a broad drop or rally in restaurant stocks offsets across the two legs. What remains is the relative call, Texas Roadhouse against Cava. Performance is the spread, the percentage return on the long minus the percentage return on the short, not the move of either name on its own.

The structure helps two ways. The first is risk. A standalone short on a widely held, retail driven stock can get squeezed hard on a single good report, and pairing it against a long the position is happy to own limits that exposure. The second is fit. A single long is a directional stock pick, while a hedged spread is a relative value view with market risk taken out, which is the kind of position this book is meant to hold.

LEG	TICKER	SIDE	ENTRY	WEIGHT
Texas Roadhouse	TXRH	Long	\$177.75	50%
Cava	CAVA	Short	\$95.00	50%

Performance is the spread, the long percentage change minus the short percentage change. Net market exposure is held near zero. Entry prices are last-close marks and should be confirmed against live quotes at execution.

The Two Legs Side by Side

METRIC	TEXAS ROADHOUSE (TXRH)	CAVA (CAVA)
Recent share price	\$177.75	\$95.00
52 week range	\$153.83 to \$197.00	\$43.41 to \$101.50
Distance below 52 week high	about 10%	about 6%
Latest comparable sales	+7.1%	traffic +6.8% (Q1 2026)
Six month share price	recovering off the lows	up about 54%

Cava next reports on August 11, 2026, with Texas Roadhouse reporting in the same window. Both reports are the main near-term catalysts for the spread.

What Would Change This View

Cava reaccelerates

The short depends on an expensive stock slowing down. Cava's most recent quarter showed traffic up 6.8 percent, a strong figure, and if that pace holds the premium starts to look earned rather than excessive. Steady traffic strength at Cava is the clearest signal to close the short.

Texas Roadhouse loses its value edge

The long depends on traffic and value perception. If traffic turns negative, or if margin keeps eroding below the current 16.3 percent on beef and labor costs, the case for the position weakens. Put simply, the trade is wrong if the gap between the two names narrows rather than widens.

Catalysts to Monitor

Both companies report second quarter results within about eight weeks, with Cava due on August 11. Those two reports will set the spread over the near term. The question is whether Texas Roadhouse holds its traffic while Cava slows against a tougher comparison. Beef cost commentary matters for the long, given sector wide exposure. Any sign that Cava's pricing is starting to cost it traffic matters for the short.

Conclusion

The position is one view with market direction taken out. The 2026 consumer is paying for value and pulling back from premium, the same store sales data make the pattern clear, and two similar sized restaurant stocks sit on opposite sides of it. Holding Texas Roadhouse long and Cava short turns that read into a hedged trade that profits on the spread rather than on the direction of the sector. The main risk is that Cava holds its traffic and grows into its valuation, which is the number to watch.

Sources include company earnings releases and investor materials, Yahoo Finance, Robinhood, Investing.com, Morningstar, S&P Global Market Intelligence, and trade reporting from Restaurant Dive and The Motley Fool. All data accessed June 2026. This report is for informational purposes only and does not constitute investment advice.